Arm's Length Price

Which Method?

price it like strangers would!

Direct Tax Laws and International Taxation

In simple words *ALP is the price two unrelated parties would agree on; related parties must price their deals the same way.*

1 Arm's Length Price

Price charged in a transaction between non-associated persons, in uncontrolled conditions.

Tested between associated enterprises

2 Most Appropriate Method

The method giving the most reliable ALP for that transaction, judged on facts, comparability and data available.

No fixed order of preference

1. Applies to an international transaction between associated enterprises
2. Five named methods: CUP, RPM, CPM, PSM, TNMM, plus a prescribed other method
3. No ranking of methods: choose the most appropriate one
4. Income is computed on the ALP of the method chosen



Swipe for the summary →

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The 5 Methods at a Glance

know what each one compares

Methods of Arm's Length Price (ALP)

Method	What it compares
CUP	Price in a comparable uncontrolled deal
RPM	Resale price less normal gross margin
CPM	Cost of production plus gross mark-up
PSM	Combined profit split by contribution
TNMM	Net profit margin against a base

Pick by facts, not by habit! CUP suits identical goods, RPM distributors, CPM manufacturers, PSM integrated deals, TNMM many other cases.

Swipe for a memory trick →

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STUDY TRICK

Methods of Arm's Length Price (ALP)

name them in Act order

CUP, RESALE, COST, SPLIT, NET

Cup = CUP (price), Resale = RPM, Cost = CPM (cost plus), Split = PSM (profit split), Net = TNMM (net margin).

HOW TO ATTEMPT IT

1 Spot the associated enterprises → 2 Identify the international transaction → 3 Study functions, assets, risks → 4 Choose the most appropriate method → 5 Compute ALP, compare with price

EXAM TIP

In MCQs, match the fact pattern to the method: resale by distributor means RPM; profit-based on net margin means TNMM.

DOUBT BUSTER

Must we try CUP first, always? No. The law gives no order. Choose the method that is most appropriate on the facts and data, and CUP is preferred only when it fits.

Swipe for common mistakes →

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COMMON MISTAKES

Methods of Arm's Length Price (ALP)

don't mix up the margins

✗ CUP must be applied first, then RPM, and so on

✓ No hierarchy exists; the most appropriate method is used.

✗ TNMM compares gross profit margins

✓ TNMM compares net profit margin; RPM and CPM use gross margin or gross mark-up.

✗ ALP applies to any payment between two Indian residents

✓ It applies to international transactions between associated enterprises, and to specified domestic transactions only as the law provides.

TOMORROW'S CMA FINAL MCQ TESTS THIS! Revise it tonight, then try the MCQ.

Save this for revision!

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